

Second supplementary opinion of the National Commission for Data Protection regarding draft law no. 7937 on affordable housing and amending 1° the amended law of February 25, 1979 concerning housing assistance; 2° the amended law of July 19, 2004 concerning communal planning and urban development; 3° the amended law of March 25, 2020 establishing the Special Fund for Housing Development Support; 4° the law of July 30, 2021 concerning the Housing Pact 2.0
Deliberation no. 59/AV33/2023 of July 7, 2023.

1. In accordance with Article 57.1.e) of Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation) (hereinafter referred to as the "GDPR"), to which Article 7 of the law of August 1, 2018 organizing the National Commission for Data Protection and the general regime on data protection refers, the National Commission for Data Protection (hereinafter referred to as the "National Commission" or the "CNPDP") "advises, in accordance with the law of the Member State, the national parliament, the government, and other institutions and bodies regarding legislative and administrative measures relating to the protection of the rights and freedoms of natural persons with regard to processing."

Article 36.4 of the GDPR states that "[m]ember states consult the supervisory authority in the context of the preparation of a proposal for a legislative measure to be adopted by a national parliament, or of a regulatory measure based on such a legislative measure, which relates to processing."

2. On July 21, 2022, the National Commission issued its opinion on draft law no. 7937 on affordable housing and amending 1° the amended law of February 25, 1979 concerning housing assistance; 2° the amended law of July 19, 2004 concerning communal planning and urban development; 3° the amended law of March 25, 2020 concerning the Special Fund for Housing Development Support; 4° the law of July 30, 2021 concerning the Housing Pact 2.0 (hereinafter referred to as Deliberation no. 33/AV16/2022 of July 21, 2022, doc. pari. no. 7937/04).

CNPDP

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after the "bill"). Following the submission of government amendments on April 6, 2023, the CNPDP adopted its supplementary opinion dated June 30, 2023.

3. The Housing Commission adopted two sets of amendments on July 3 and July 5, 2023. Given that some of the parliamentary amendments adopted on July 3, 2023, concern provisions that were commented on in its previous opinions, the CNPDP takes the initiative to share its observations below. It will base its comments on the coordinated text of the bill as annexed to the parliamentary amendments of July 5, 2023.

I.

On the integrity check carried out in the context of approval requests

4. In its opinion dated July 21, 2022, the National Commission made critical observations regarding the integrity check provided for by Article 35 of the bill. It positively notes that the parliamentary amendments bring certain clarifications, notably by including professional integrity among the conditions for approval and specifying which person is subject to the integrity check. However, other uncertainties and inconsistencies persist. Thus, the CNPDP believes that the addition of the terms "under the conditions provided in Chapter 3" to paragraph 1 of Article 35 does not address the concerns expressed in its initial opinion.

II.

On the purposes of the RENLA

5. It must be noted that the amendments under review aim to significantly reduce, or even eliminate, the role of the national register of affordable housing (hereinafter "RENLA") in the allocation of housing intended for affordable rental. According to the CNPD's understanding, it is now provided that the RENLA is used only to verify the eligibility of the applicant-tenant and that the RENLA no longer intervenes (notably by reinstating a priority list) during the actual allocation of housing, which is done exclusively based on an assessment by social inquiry. However, it is necessary to question whether this paradigm shift is sufficiently reflected in the text under review. For example, Article 1, point 4° still mentions "the harmonized and equitable allocation of housing intended for affordable rental via a national register of affordable housing," while the titles of Articles 53 and 54 continue to refer to the "allocation procedure [...] via the register."

2 Deliberation No. 52/AV30/2023 of June 30, 2023, parliamentary document No. 7937/14.

3 Deliberation No. 33/AV16/2022 of July 21, 2022, parliamentary document No. 7937/04, point II.

4 The text of the draft law uses the term "candidate-tenant." However, Article 3, point 2° of the draft law defines the candidate-tenant as "the person or persons who meet the eligibility conditions for affordable housing as defined in Article 55," so that the term "applicant-tenant" seems more appropriate.

CNPD

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6. Already in its opinion of July 21, 2023, the National Commission noted that the proposed law remained quite vague regarding the objectives pursued by the RENLA and that the commentary on the articles provided much more precision that should be incorporated into the text of the proposed law. Following the amendments made to the draft law, uncertainties regarding the objectives and functioning of the RENLA have increased to the extent that the explanations provided in the explanatory memorandum and the commentary on the articles of the initial draft law no longer seem to be relevant. In particular, the question arises as to whether the RENLA still constitutes a national waiting list for affordable housing as provided for in the initial draft law. The CNPD must emphasize the importance of clearly defining the objectives of the RENLA in the text of the proposed law.

III.

On the access of public research centers to personal data held by other organizations

7. By amendment 47, the authors intend to modify the new article 94 (formerly article 96) which, in its initial wording, conferred upon the minister responsible for Housing (hereinafter the "minister") the power to authorize third parties to access databases held by other organizations. In its initial opinion, the CNPD requested the authors of the draft law to review this provision as it was contrary to the GDPR, while the Council of State formally opposed it due to legal uncertainty.

8. Thus, the new article 94 is amended to read as follows: "Public research centers governed by the amended law of December 3, 2014, whose purpose is the organization of public research centers, in the context of public interest research missions, have access to pseudonymized personal data contained in the databases of administrations, including the register, of social promoters, social landlords, and organizations engaged in social rental management for the purposes of evaluating the results of public policy, studies, or scientific surveys of public interest in the field of affordable housing."

9. The National Commission positively notes that the provision under review no longer states that the minister can authorize third parties to access personal data held by other organizations. However, the new article 94 as amended continues to raise significant questions regarding data protection.

10. In particular, the question arises as to how the provision under review is supposed to interact with

article 4.4 of the amended law of December 3, 2014, which governs the organization of public research centers and states that "for the realization of the missions referred to in paragraphs 1 and 3, and subject to the condition that the research project falls within the context of scientific research in the public interest, public research centers may, with the agreement of the relevant administrative authority, access personal data processed therein, provided that such data is pseudonymized in accordance with article 4, paragraph 5, of the [GDPR]. These data may not be processed in the context of another research project and must be anonymized no later than three months after the end of the research project."

11. The National Commission had taken the initiative to express its reservations and concerns regarding the insertion of this paragraph by draft law n° 7996, which became the law of June 7, 2023, amending the law of December 3, 2014, governing the organization of public research centers. However, article 94 of the draft law as amended goes even further in that access for research centers is not subject to the agreement of the concerned organizations, which may also be private actors. The CNPD refers to its opinion of March 3, 2023, regarding draft law n° 7996 and recalls that article 89 of the GDPR as well as articles 63 to 65 of the law of August 1, 2018, organizing the National Commission for Data Protection and the general regime on data protection apply to the processing of personal data for scientific or historical research purposes or for statistical purposes.

Thus adopted in Belvaux on July 7, 2023.

The National Commission for Data Protection

Tine A. Larsen
President

Thierry Lallemand
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8. Deliberation n°17/AV10/2023 of March 3, 2023, doc. pari. n° 7996/07.

9. Ibid.